You could argue that the numbers are close enough to the O'Neil guidelines to qualify as a high, tight flag. I accept it as a valid pattern. The stock climbed 28% before dropping by 20%.

Table 35.1 shows the guidelines I used in selecting and evaluating high, tight flags.

Appearance. Look for a short, quick rise. By that, I mean a rise in which price nearly doubles in 2 months or less. It can move up more than that, and the rise need not take place from a flat base (horizontal price movement). In the high, tight flags I found, I looked for a doubling of the price in 2 months and then let my computer determine when the trend started (see “Trend Start” in the Glossary for details).

You will want to avoid price trends where the trend in the month or two leading to the start of the flagpole is steep (either up or down). Shallow inbound trends are best. I'll discuss this in the Experience section.

Flag consolidation. Once we have a tall flagpole (a doubling of price in two months or less), look for a consolidation area to form. In my selections, I did not care how long the stock consolidated nor how far the flag descended before turning upward. All that mattered was that the consolidation area was plainly visible to the casual observer.

Volume. The final identification guideline is not really for identification as much as it is for performance. Flags with receding volume outperform those without. However, I would not ignore a high, tight flag simply because volume is rising. Rather, I would recognize that performance may suffer.

Breakout direction. The breakout is upward by definition. If the stock breaks out of the flag (consolidation area) downward, then look elsewhere. I prefer to wait for price to close above the top of the flagpole before taking a position.

Duration. Price must double in 2 months or less. That doubling becomes the flagpole.